

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT’S MEMORANDUM IN OPPOSITION TO
RESPONDENTS’ MOTION FOR RECONSIDERATION OR LEAVE TO APPEAL**

Complainant 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through its undersigned counsel, respectfully submits this Memorandum in Opposition to Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited’s (collectively, “Respondents”) September 6, 2024 Motion for Reconsideration (the “Motion”) of the Presiding Officer’s August 23, 2024 Order (the “Order”), which granted Complainant’s July 8, 2024 Motion for Permission to File Proposed Verified First Amended Complaint Against Respondents (the “Motion to Amend”).

Respondents’ perfunctory and frivolous Motion for Reconsideration, which also requests (in the alternative) leave to appeal the Order to the Commission, *see* Mot. at 4, fails to state a basis for the relief requested, as Respondents have not identified any intervening change in applicable law, new facts, or clear error warranting the extraordinary remedy of reconsideration of the Order. Instead, the Motion simply rehashes the same arguments that Respondents previously advanced, and that the Presiding Officer explicitly considered and rejected in the Order—including as to the *OJ Commerce* case on which Respondents principally rely. The Presiding Officer should reject those arguments (again) and deny the Motion. As for Respondents’ one-sentence request after the Motion’s Conclusion asking the Presiding Officer, in the event the Motion is denied, to treat the

Motion as a request for leave to appeal the Order to the Commission, Respondents provide no legal basis or analysis supporting such a request for interlocutory appeal. Their request is contrary to law and the Presiding Officer's careful reasoning in the Order itself, and should be rejected.

LEGAL STANDARD

"A presiding officer may properly reconsider and reverse interlocutory rulings made prior to the initial decision". *Carolina Marine Handling, Inc. v. S.C. State Ports Auth. et al.*, Dkt. No. 99-16, 2000 WL 1072111, at *1 (Fed. Mar. Comm'n ALJ July 12, 2000). Although the Commission's Rules of Practice and Procedure (the "Rules") do not specifically provide for reconsideration except with respect to a final decision or order of the Commission itself, Rule 12 states that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." See 46 C.F.R. §§ 502.261, 502.12; see also *Odyssea Stevedoring of P.R., Inc. v. P.R. Ports Auth. Int'l Shipping Agency Inc.*, Dkt. Nos. 02-08, 04-01 & 04-06, 2007 WL 666764, at *4 (Fed. Mar. Comm'n ALJ Feb. 12, 2007).

The Federal Rules of Civil Procedure also do not specifically provide for motions for reconsideration and, in general, "a court will grant a motion for reconsideration of an interlocutory order **only** when the movant demonstrates: (1) an intervening change in the law; (2) the discovery of new evidence not previously available; or (3) a clear error in the first order." *Stewart v. Panetta*, 826 F. Supp. 2d 176, 177 (D.D.C. 2011) (emphasis added) (citation omitted). "Reconsideration will generally be denied unless the moving party can point to controlling decisions or data that the court overlooked." *Shrader v. CSX Transp., Inc.*, 70 F.3d 255, 257 (2d Cir. 1995). "However, in order to promote finality, predictability and economy of judicial resources, as a rule [a] court should be loath[] to [revisit its own prior decisions] in the absence of **extraordinary circumstances**

such as where the initial decision was clearly erroneous and would work a manifest injustice”, and “[t]he moving party has the burden of showing that reconsideration is warranted, and that *some harm or injustice would result* if reconsideration were to be denied.” *Brookens v. United States*, 308 F.R.D. 14, 15 (D.D.C. 2015) (emphasis added; internal quotation marks; citations omitted).

ARGUMENT

I. Respondents’ Motion for Reconsideration Fails.

As an initial matter, Respondents’ Motion fails to cite the correct legal standard governing motions to reconsider interlocutory orders, which must be based on “(1) an intervening change in the law; (2) the discovery of new evidence not previously available; or (3) a clear error in the first order.” *Panetta*, 826 F. Supp. 2d at 177. Instead, Respondents seek to avoid this well-established framework—and their burden to demonstrate that reconsideration is warranted—by an amorphous appeal to the Presiding Officer’s discretion. This violates governing precedent and thus fails.

A. Respondents Cite No Change in the Law to Justify Reconsideration.

Respondents’ Motion cites no intervening change in the law that would warrant reconsideration. Respondents’ argument centers on a discussion of Complainant’s retaliation claim under the former 46 U.S. Code Section 41104(a)(3), now codified at 46 U.S. Code Section 41102(d) (“Section 41104(a)(3)”), and the Initial Decision in *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG and Hamburg Sud North America, Inc.*, Dkt. No. 21- 11, 2023 WL 3969857 (Fed. Mar. Comm’n ALJ June 7, 2023), which was issued prior to the Order in this case and affirmed by the Commission on August 27, 2024. *See OJ Commerce, LLC*, Dkt. No. 21-11, slip op. (Fed. Mar. Comm’n Aug. 27, 2024) (Order Affirming Initial Decision) (“*OJ Commerce*”). The *OJ Commerce* Initial Decision was already discussed at length in the briefing on Complainant’s Motion to Amend, *see* Respondents’ Reply to Complainant’s Motion for Leave to Amend Complaint, Dkt. No. 23-02 (July 15, 2024), at 3-4, and

the Commission’s order affirming that Initial Decision plainly does not constitute a change in the law.

B. Respondents Cite No New Evidence as the Basis for Their Motion.

Respondents’ Motion cites no new evidence that would warrant reconsideration. Indeed, as detailed below, recent deposition testimony in this case reinforces the Order’s correctness.

C. Respondents Have Failed to Identify Any Clear Error of Law.

Respondents also fail their burden to identify *any* “clear error of law” in the Order or show how the Order results in a manifest injustice that would warrant reconsideration.¹

i. Respondents’ Interpretation of OJ Commerce is Facially Incorrect and Respondents Have Shown No Clear Error of Law.

Respondents’ Motion appears to argue that the Commission’s recent order affirming the Initial Decision in *OJ Commerce* announced a new, restrictive standard for Section 41104(a)(3) violations that would require a complainant to allege, “as a predicate act for a retaliation claim”, that the complainant provided “formal notice” to a respondent of the complainant’s “intent to file a complaint.” Mot. at 1, 3 (quoting *OJ Commerce* at 32). Respondents are incorrect. *OJ Commerce* did not create any new brightline rule regarding predicate acts under Section 41104(a)(3). Rather, in affirming the ALJ’s Initial Decision in *OJ Commerce*, and particularly the ALJ’s discussion of the Commission’s “Statement on Retaliation”, see *OJ Commerce* at 31, the Commission was explicit that its “Statement on Retaliation” simply “clarified that the category [of retaliation claims the Commission will consider] *includes* formal notice of an intention to file a case with the Commission”. *Id.* at 32 (emphasis added). In case there was any doubt, the Commission also clarified that the Initial Decision in *OJ Commerce* “did not try to address every possible scenario” that could serve as a predicate act under Section 41104(a)(3), and that “the Commission ‘will

¹ For example, Respondents do not—and cannot—claim that the Order is an advisory opinion.

interpret . . . the anti-retaliation provision . . . broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” *Id.* at 31-32. The ALJ’s clarification of the Commission’s “Statement of Retaliation”, which the Commission affirmed, was therefore expressly permissive and did not seek to limit the scope of predicate acts under Section 41104(a)(3).

Accordingly, Respondents’ reliance here on *OJ Commerce* fails to meet Respondents’ burden to demonstrate that reconsideration of the Order is warranted. As Respondents themselves acknowledge in their Motion, the Commission found that the ALJ’s Initial Decision in *OJ Commerce* was appropriate to the facts of that case, which involved two notices of intent to pursue legal action, while noting that “[o]ffhand bluster or idle threats are of a different class.” *Id.* at 3 (quoting *OJ Commerce* at 33). The Commission’s analysis in *OJ Commerce* simply does not limit Section 41104(a)(3) in the way Respondents claim. Instead, it expressly leaves open the possibility of further types of conduct by a shipper that may serve as a predicate act under Section 41104(a)(3).

Here, as the Presiding Officer correctly found under Section 41104(a)(3)’s “any other reason” prong for establishing a predicate act to a retaliation claim, Complainant’s Verified First Amended Complaint includes allegations that clearly demonstrate “that at least some of Respondents’ employees understood the October 18, 2021, letter to be threatening to report Respondents to the FMC.” Order at 3. Indeed, Respondents admit in the Motion that these allegations at least demonstrate that “Respondents’ employees may have been concerned about the potential for BBY to file a complaint” with the FMC. *See* Mot. at 3. Under *OJ Commerce*, such acts may support a claim under Section 41104(a)(3).

Especially here, at the pleading stage (where all possible inferences must be drawn in favor of Complainant), it was proper for the Presiding Officer to consider these allegations as falling

within the ambit of a predicate act under Section 41104(a)(3), and *OJ Commerce* provides no reason to revisit that conclusion or interpret BBY's actions as mere "[o]ffhand bluster or idle threats". *OJ Commerce* at 33.

Respondents' Motion is particularly spurious because discovery in this case has shown that OOCL did *not*, in fact, view the October 2021 letter as "offhand bluster". Respondents' Motion notably fails to address, or even mention, recent deposition testimony that Respondents *actually* viewed the October 18, 2021 letter as a threat to initiate regulatory action before the FMC. At his July 22, 2024 deposition, OOCL's Vice President of Sales for its North America Group, Vincent Delprete, admitted as much:

Q. So you're referring to a formal complaint made by Bed Bath to OOCL, yes? A. That document you showed me earlier. Q. Yes. So just to confirm, when you wrote "report you to the authorities when you don't bow down," you were referring to the letter that I showed you that Bed Bath had sent [. . .] to OOCL in October 2021? A. Yes. Q. When you write, quote, "the authorities" were you referring to the FMC? A. Yes. Q. Was it your understanding as of time that Bed Bath had threatened regulatory action against OOCL? A. Regulatory action, threatened, I took that letter to mean threatened, yes, perhaps.

Decl. of J. Lee Hill, Ex. A (Delprete Dep. Tr. 140:18-141:11). At his July 31, 2024 deposition, Gavin Murdoch, OOCL's Vice President of Risk Management and Compliance for its North America Group, made a similar admission:

Q. [. . .] These letters that you refer to, that OOCL received from Bed Bath & Beyond, did you understand those letters from Bed Bath & Beyond to have a regulatory dimension to them? A. Well, I did consider that if they could go forward and actually file a complaint with the FMC, yeah, so it did have some reg- -- and, sure enough, that's what happened. Q. And so the reference that you have here in Exhibit 182, a strategy to settle BBB case was to reach a resolution of those claims in those letters; is that right? A. Yes. Exactly. [. . .]

Q. [. . .] Why did you describe this as "a sensitive issue" in this e-mail? [. . .] [I]n what sense was it sensitive? [. . .] A. Oh, that it could be heading down the path toward an FMC Complaint, and ultimately it did.

Decl. of J. Lee Hill, Ex. B (Murdoch Dep. Tr. 133:17-134:8, 199:14-200:20). These admissions that Respondents’ executives actually viewed BBY’s October 21 letter as a formal threat of regulatory action reinforce the correctness of the Order and render Respondents’ Motion frivolous.

ii. *Respondents Have Failed to Identify Any Clear Error of Law Regarding the Presiding Officer’s Decision to Grant Leave to Amend.*

As the Presiding Officer noted in the Order, “Commission Rule 66(a) provides in pertinent part that amendments ‘will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues.’ 46 C.F.R. § 502.66(a).” Order at 2. The Presiding Officer properly exercised discretion to conclude that Complainant’s proposed Verified First Amended Complaint met this standard.

Moreover, Respondents’ arguments advanced (again) in the instant Motion—i.e., that under *OJ Commerce* a retaliation claim is only possible after a complainant sends a “formal notice of intent to file a complaint with the FMC”, Mot. at 3—are not only incorrect (as discussed above) but were already specifically considered and rejected by the Presiding Officer in the Order:

It is clear from these emails that at least some of Respondents’ employees understood the October 18, 2021, letter to be threatening to report Respondents to the FMC. ***Respondents are correct that the parties have not identified any cases regarding whether a statement that implicitly, but not explicitly, threatens to report an entity to the FMC has violated the “for any other reason” portion of the prohibition on retaliation. Rather than requiring that the allegation be dismissed, the lack of precedent on this issue weighs toward resolving the issue after the facts have been fully developed.*** Determination of the issue will depend on the context including who made the statements, issues best resolved after briefing. The amended complaint raises a plausible claim of retaliation and Respondents have not established that the claim would be futile nor that a motion to dismiss would be successful.

Order at 3 (emphasis added). The Presiding Officer reasonably determined that, at the pleading stage, Section 41104(a)(3)’s “any other reason” language may be deemed to cover the October 18, 2021 formal notice sent by Complainant to Respondents, particularly in light of Respondents’ own

employees believing that such letter constituted a threat by Complainant to file a complaint with the FMC. A review of *OJ Commerce* indicates that the weight of law and the Commission's Statement on Retaliation align with the Presiding Officer's conclusions in the Order.

Respondents also fail to claim that any "manifest injustice" could result from the Order. Nor could they. The Presiding Officer has not made any final determinations regarding the rights, claims, or defenses of the parties. The parties will soon have an opportunity to present full arguments, with the benefit of discovery, on these issues, at which time the Presiding Officer will be able to make important legal determinations with the benefit of a fully developed factual record. There is no injustice in permitting Complainant to proceed on the basis of its Verified First Amended Complaint.

II. Respondents' Alternative Request for Interlocutory Appeal Should be Rejected.

Respondents provide no basis or support of any kind for their request in the alternative to treat their Motion "as a request for leave to appeal the Order to the Commission", Mot. at 4, and the Presiding Officer should reject it. Commission Rule 221(a) provides that

rulings of the presiding officer may not be appealed . . . if the proceeding is still before him or her, except where the presiding officer finds it necessary to allow an appeal to the Commission to prevent [1] substantial delay, [2] expense, or [3] detriment to the public interest, or [4] undue prejudice to a party.

46 C.F.R. § 502.221(a). Interlocutory appeals are rarely permitted, and the party seeking interlocutory review "bears the burden of showing that exceptional circumstances justify a departure from the basic policy of postponing appellate review until after the entry of a final judgement." *Virtual Def. and Dev. Int'l, Inc. v. Republic of Moldova*, 133 F. Supp. 2d 9, 22 (D.D.C. 2001) (internal quotation marks omitted).²

² In interpreting Commission Rule 221(a), the Commission has held that it is appropriate to look to the procedures established for the district courts for guidance in determining whether an interlocutory appeal is appropriate. *See*

Respondents fail to make any showing justifying an interlocutory appeal, much less one that meets their burden to demonstrate exceptional circumstances justifying such an appeal. In federal courts, interlocutory appeals are permissible if a trial judge certifies that an otherwise unappealable order (1) involves a controlling question of law; (2) offers substantial ground for difference of opinion as to its correctness; *and* (3) the decision, if appealed immediately, would materially advance the ultimate termination of the litigation. *See* 28 U.S.C. § 1292(b). “[A] controlling question of law is one that would require reversal if decided incorrectly or that could materially affect the course of litigation with resulting savings of the court’s or the parties’ resources.” *Jud. Watch, Inc. v. Nat’l Energy Pol’y Dev. Grp.*, 233 F. Supp. 2d 16, 19 (D.D.C. 2002).

Here, the Presiding Officer has made no final decision on any issue that controls the outcome of the case, and the current Scheduling Order calls for final briefing on the merits in a matter of months, meaning that an appeal would have no realistic chance of accelerating a final determination of the issues presented, but would instead greatly *delay* the very determination that Respondents purportedly seek regarding the scope of predicate acts related to retaliation claims. Moreover, for the reasons stated herein, there are *no* grounds—much less any substantial ones—for difference of opinion as to the correctness of the Presiding Officer’s Order, rendering any appeal meritless. Respondents have otherwise failed to provide a basis for an appeal under Commission Rule 221(a), where the Presiding Officer’s Order already rejected any claims of undue delay, *see* Order at 3, or that might result in undue prejudice or expense to any party, and Respondents do not raise any concerns as to any purported detriment to the public interest.

Amzone Int’l, Inc. v. Hyundai Merchant Marine Co., 27 S.R.R. 386, 389 (FMC 1995). (“[I]nterlocutory appeals are permissible if a district judge certifies that an otherwise unappealable order ‘...involves a controlling question of law as to which there is substantial ground for difference of opinion and that an immediate appeal from the order may materially advance the ultimate termination of the litigation....’ 28 U.S.C. § 1292(b).”).

Finally, the Order explicitly reasoned that the issue of Respondents' retaliation should be resolved "after the facts have been fully developed," as "[d]etermination of the issue will depend on the context including who made the statements, issues best resolved after briefing." Order at 3. The Presiding Officer therefore has not made any final decision as to the parties' rights or the scope of the retaliation claim, and in her well-reasoned judgment decided that Complainant's retaliation claims should be resolved upon the facts. Accordingly, an interlocutory appeal would be especially improper here where, by the Order's own terms, such appeal would be unnecessary and wasteful.

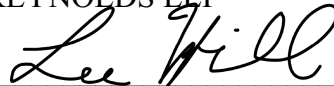
CONCLUSION

For the foregoing reasons, Complainant respectfully requests that the Presiding Officer deny Respondents' Motion and alternative request for leave to appeal the Order to the Commission.

Dated: September 13, 2024

Respectfully submitted,

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Certificate of Service

I hereby certify that I have this day served the foregoing document and its exhibits upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of those documents to their counsel of record listed below:

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